

state four additional principles of more specific character which are applicable to the selection of individual issues:

- I. *Safety is measured not by specific lien or other contractual rights, but by the ability of the issuer to meet all of its obligations.*³
- II. *This ability should be measured under conditions of depression rather than prosperity.*
- III. *Deficient safety cannot be compensated for by an abnormally high coupon rate.*
- IV. *The selection of all bonds for investment should be subject to rules of exclusion and to specific quantitative tests corresponding to those prescribed by statute to govern investments of savings banks.*

A technique of bond selection based on the above principles will differ in significant respects from the traditional attitude and methods. In departing from old concepts, however, this treatment represents not an innovation but the recognition and advocacy of viewpoints which have been steadily gaining ground among intelligent and experienced investors. The ensuing discussion is designed to make clear both the nature and the justification of the newer ideas.⁴

I. SAFETY NOT MEASURED BY LIEN BUT BY ABILITY TO PAY

The basic difference confronts us at the very beginning. In the past the primary emphasis was laid upon the specific security, *i.e.*, the character and supposed value of the property on which the bonds hold a lien. From our standpoint this consideration is quite secondary; the dominant element must be the strength and soundness of the obligor enterprise. There is here a clearcut distinction between two points of view. On the one hand the bond is regarded as a claim against *property*; on the other hand, as a claim against a *business*.

The older view was logical enough in its origin and purpose. It desired to make the bondholder independent of the risks of the business by

³ This is a general rule applicable to the majority of bonds of the fixed-value type, but it is subject to a number of exceptions which are discussed later.

⁴ These ideas are neither so new nor so uncommon in 1940 as they were in 1934, but we doubt whether they may be considered standard as yet.